



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Period Ended 30 September 2023

For the

	03 Months Ended 30th September		06 Months Ended 30th September	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	1,145,688,675	950,381,667	2,235,019,807	1,760,190,711
Interest income	1,093,327,739	909,548,542	2,128,180,798	1,681,378,856
Interest expenses	(747,855,327)	(657,921,667)	(1,520,627,225)	(1,081,066,365)
Net interest income	345,472,412	251,626,875	607,553,573	600,312,491
Fee and commission income	40,952,860	26,957,373	80,915,028	44,511,711
Other operating income	11,408,076	13,875,751	25,923,981	34,300,144
Total operating income	397,833,348	292,460,000	714,392,582	679,124,346
Impairment charges for loans and receivables to customers	(53,820,630)	(72,493,859)	(91,119,409)	(87,537,793)
Net operating income	344,012,717	219,966,141	623,273,173	591,586,553
Operating expenses				
Personnel expenses	(162,375,243)	(178,719,016)	(330,331,481)	(330,017,348)
Depreciation and amortization	(30,171,706)	(30,530,480)	(58,659,474)	(46,940,367)
Other operating expenses	(142,336,761)	(52,160,260)	(273,522,494)	(168,103,068)
Operating profit/(loss) before Tax on Financial Services	9,129,007	(41,443,615)	(39,240,306)	46,525,770
Tax on financial services	(35,105,267)	-	(53,642,839)	(21,559,905)
Profit /(loss) before income tax	(25,976,229)	(41,443,615)	(92,883,145)	24,965,865
Income tax expense		(4,650,157)		(4,650,157)
Profit/(loss) for the period	(25,976,229)	(46,093,772)	(92,883,145)	20,315,708
Other comprehensive income/(expenses)				
Other comprehensive income to be classified to profit or loss in subsequent periods				
Fair value gain / (loss) on investment in Treasury Bonds /Quoted Shared	195,072,348	8,952,419	262,077,714	(1,887,714)
Total comprehensive income/(expenses) for the period	169,096,119	(37,141,353)	169,194,570	18,427,994
Earnings per share (Rs.)	(0.12)	(0.22)	(0.44)	0.10

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At

	30th September 2023	31st March 2023
	Rs.	Rs.
ASSETS	Unaudited	Audited
Cash and cash equivalents	360,435,914	307,893,891
Financial assets - fair value through other comprehensive income	2,116,599,374	1,262,913,731
Loans and receivables to customers	13,649,624,434	12,941,011,251
Investments with banks and other financial institutions	264,476,831	236,013,310
Other assets	741,347,978	657,440,798
Real estate stock	10,968,258	10,656,618
Deferred tax asset	369,577,434	369,577,434
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	19,121,926	25,097,945
Property, plant and equipment	88,864,400	70,733,416
Right of use assets	73,532,806	96,792,682
Investment properties	690,316,463	690,316,465
Total assets	19,185,291,562	17,468,873,287
LIABILITIES		
Due to banks - bank overdrafts	237,769,172	240,846,238
Deposits from customers	12,738,294,130	10,759,498,577
Interest bearing borrowings	2,108,923,823	2,606,632,095
Lease Liability -Right-of-use Assets	10,683,467	46,222,825
Other liabilities	581,037,187	482,218,634
Retirement benefit obligations	58,383,046	52,448,752
Total liability	15,735,090,827	14,187,867,121
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings	501,464,177	332,269,607
Total equity	3,450,200,736	3,281,006,166
Total equity and liabilities	19,185,291,562	17,468,873,287
Net assets per share	16.34	15.54

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd
Manjula Thennakoon
Chief Financial Officer

Sgd
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd
Rajendra Theagarajah
Chairman

Sgd
Prakash Schaffter
Director

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15th November 2023

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the period ended 30th September

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/(Loss) for the six months	-	-	-	20,315,709	20,315,709
Other comprehensive income (expense)				(1,887,714)	(1,887,714)
Balance as at 30th September 2022	2,431,879,039	375,736,747	141,120,773	401,570,771	3,350,307,330
Balance as at 01st April, 2023	2,431,879,039	375,736,747	141,120,773	332,269,607	3,281,006,166
Profit/(Loss) for the six months				(92,883,145)	(92,883,145)
Other comprehensive income				262,077,714	262,077,714
Balance as at 30th September 2023	2,431,879,039	375,736,747	141,120,773	501,464,177	3,450,200,736

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the period ended 30th September

	2023	2022
	Rs.	Rs.
	Unaudited	Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	(92,883,145)	24,965,865
Adjustment for:		
Depreciation/amortization	58,659,474	46,940,367
Loss on disposal of property, plant and equipment	-	(113,350)
Impairment charges for loans and receivables to customers	91,119,409	87,537,793
Finance expenses	1,520,627,225	1,081,066,365
Investment income	(224,387,892)	(68,491,306)
Provision for gratuity	10,932,000	10,775,967
Operating profit/(Loss) before working capital changes	1,364,067,071	1,182,681,701
Change in loans and receivables to customers	(799,732,592)	650,239,158
Change in other assets	(83,907,210)	(207,907,950)
Change in deposits from customers	754,216,070	174,253,908
Change in other liabilities	87,886,553	(353,768,099)
	1,322,529,892	1,445,498,718
Rent Paid	(41,600,611)	(39,802,489)
Interest paid	(1,226,459,122)	(619,150,396)
Gratuity paid	(3,175,706)	(681,080)
Net cash from/(used in) operating activities	51,294,453	785,864,753
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(45,424,272)	(25,675,821)
Proceeds from sale of property, plant and equipment	-	113,350
Expenses incurred for real estate stock	(311,640)	(933,525)
Net change in Financial assets - fair value through other comprehensive income	(473,929,430)	(22,896,291)
Net change in investments with bank and other financial institutions	59,405,304	149,772,432
Investment income received	244,519,863	18,703,615
Net cash generated from/(used in) investing activities	(215,740,174)	119,083,760
Cash flows from financing activities		
Interest bearing borrowings obtained	2,255,000,000	823,133,332
Repayment of interest bearing borrowings	(1,762,579,894)	(1,425,206,454)
Interest Paid on Borrowings	(272,355,296)	(419,537,865)
Net cash generated from/(used in) financing activities	220,064,809	(1,021,610,987)
Net change in cash and cash equivalents	55,619,089	(116,662,474)
Cash and cash equivalents at the beginning of the Period	67,047,653	(384,131,906)
Cash and cash equivalents at the end of the Period (Note A)	122,666,742	(500,794,380)
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	323,220,771	154,502,458
Cash at bank	37,215,143	65,293,163
Bank overdrafts - secured	(237,769,172)	(720,590,001)
	122,666,742	(500,794,380)

Figures in brackets indicate deductions.

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ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

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The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th September	Finance lease & Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Interest income	1,063,359,753	1,025,888,302	62,361,761	79,985,959	2,935,883	1,527,540	775,135,509	505,485,750	224,387,892	68,491,305	2,128,180,798	1,681,378,856
Fee and commission income	75,139,901	43,902,514	1,575,027	-	-	609,197	-	-	4,200,100	-	80,915,028	44,511,711
Other income	19,439,857	23,544,963	-	-	-	-	-	-	6,484,124	10,755,181	25,923,981	34,300,144
Total segmental income	1,157,939,511	1,093,335,780	63,936,787	79,985,959	2,935,883	2,136,737	775,135,509	505,485,750	235,072,116	79,246,486	2,235,019,807	1,760,190,711
Less: Interest expense	(865,222,970)	(671,500,270)	(79,240,833)	(49,125,433)	(9,811,384)	(1,312,331)	(355,635,665)	(310,457,065)	(210,716,374)	(48,671,266)	(1,520,627,225)	(1,081,066,365)
Segmental results	292,716,541	421,835,510	(15,304,045)	30,860,527	(6,875,500)	824,406	419,499,844	195,028,685	24,355,743	30,575,220	714,392,582	679,124,347
Depreciation and amortization	(33,376,703)	(29,156,831)	(3,056,782)	(2,133,048)	(378,482)	(56,982)	(13,718,945)	(13,480,180)	(8,128,561)	(2,113,327)	(58,659,474)	(46,940,367)
Impairment charge	(131,650,417)	(84,276,517)	25,815,813	3,445,420	17,640,588	(6,195,989)	(2,925,393)	(510,706)	-	-	(91,119,409)	(87,537,793)
Other Expenses	(343,587,401)	(309,405,605)	(31,467,209)	(22,635,410)	(3,896,184)	(604,680)	(141,225,948)	(143,048,574)	(83,677,264)	(22,426,146)	(603,854,005)	(498,120,416)
Tax on Financial Services	(27,791,773)	(16,280,280)	(1,534,551)	(1,191,028)	(70,464)	(31,817)	(18,604,072)	(4,056,780)	(5,641,979)	-	(53,642,839)	(21,559,905)
Income tax	-	-	-	-	-	-	-	-	-	(4,650,157)	-	(4,650,157)
Profit/(loss) after tax	(243,689,752)	(17,283,724)	(25,546,773)	8,346,460	6,419,957	(6,065,062)	243,025,486	33,932,445	(73,092,062)	1,385,589	(92,883,145)	20,315,709
Segmental assets	10,916,255,280	8,838,291,317	999,757,504	988,757,882	123,787,246	110,860,362	4,486,947,113	4,256,011,223	2,658,544,450	2,845,237,909	19,185,291,592	17,039,158,693
Segmental liabilities	8,953,122,630	7,100,392,825	819,965,391	794,335,592	101,525,877	89,061,572	3,680,033,739	3,419,139,568	2,180,443,189	2,285,921,806	15,735,090,827	13,688,851,363

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2023. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2023.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Second Board of the Colombo Stock Exchange (CSE).

Stated Capital

	30-Sep-23	30-Sep-22
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155

Share Price During the Period

	For the Quarter Ended	
	30-Sep-23	30-Sep-22
Highest (Rs)	11.30	11.80
Lowest (Rs)	6.90	7.00
Closing (Rs)	9.20	8.10

NOTES TO THE FINANCIAL STATEMENTS

Twenty largest Shareholders as at 30 September 2023

	Name	No. of Shares	%
1	Janashakthi Ltd	93,644,438	44.36
2	Seylan Bank PLC/Janashakthi PLC (collateral)	90,000,000	42.63
3	Seylan Bank o PLC/Janashakthi Capital Limited	11,810,999	5.59
4	First Capital Limited	2,138,299	1.01
5	DFCC Bank PLC/G.A.C. De Silva	1,534,050	0.73
6	Suhada Gas Distributor (PVT) LTD	888,100	0.42
7	Commercial Bank of Ceylon PLC /Ramachandran	855,000	0.41
8	Commercial Bank of Ceylon PLC / Janashakthi Limited	555,057	0.26
9	Mr.R.A.B.K. Kumara	500,000	0.24
10	Mr.A.Rajaratnam	413,983	0.20
11	Mrs.I.P.I.L. Gunathilaka	406,750	0.19
12	LOLC Finance PLC/V.S.Rajasooriyar	375,000	0.18
13	Mr.L.P.Mendis	358,695	0.17
14	People Leasing & Finance PLC/Mr A.Rajaratam	300,000	0.14
15	Mr.P.C.Priyanjitha	299,600	0.14
16	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
17	Mr.S.M.P.B Samarapperuma	223,185	0.11
18	Mr.M.K. De livera	207,629	0.10
19	Mrs.A.S.De Alwis	204,428	0.10
20	Hatton National Bank PLC/Koralagodage Don Sahan Rachira Kulatunga & Mrs.Oshadhini Upulika Kumari Jayasundara	169,646	0.08
21	Mr.W.M.W.P.B Weerakoon	168,070	0.08
22	Mr.G.P.P.Abeywickrama	139,950	0.07
	Others	5,661,390	2.68
	Total	211,101,155	100

Directors' Shareholding as at 30th September 2023

	Name of the Director	No. of Shares	%
1	Mr. Prakash Anand Schaffter	10	-
2	Mr.Rajendra Theagarajah	-	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Nawalage Sriyan Suresh Cooray	-	-
6	Mr. Kather Meerasahim Mohamed Jabir	-	-
7	Mr. R. M. Darshana Joseph Ratnayake	-	-
8	Mr.Nalin Karunaratne	-	-
	Total	10	

CEO's Shareholding as at 30 September 2023

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30 September 2023

Number of Public Shareholders	12,952,342
Public Shareholding Percentage	898
Float Adjusted market capitalization (Rs)	6.14%
	119,169,135

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.